Time: 3 Hours **Max. Marks: 80**

Note:

(1) All questions are compulsory.

(2) Figures to the right indicate full marks for the questions.

(3) Figures to the left indicate question numbers.

(4) Answer to every question must be started on a new page.

Q.1. (A) Select the proper option from the options given below and rewrite the sentences: **(5)[15]**

(1) The _____ means mix-up of various sources of funds in desired proportion.
(a) Capital structure (b) Term loans (c) Retained profit

(2) A person who purchases shares of a company is known as _____ of the company.
(a) Bondholder (b) Shareholder (c) Creditor

(3) If a share of ₹ 100 is issued at ₹ 100, it is said to be issued at _____.
(a) Premium (b) Discount (c) Par

(4) Depository Act was passed in _____.
(a) 1996 (b) 1986 (c) 1985

(5) Dividend warrants are issued to _____ holders for getting dividend.
(a) Coupon (b) Share warrant (c) Share certificate

(B) Match the correct pairs: **(5)**

	Group "A"		Group "B"
1.	Financial planning	a.	Dividend
2.	Public deposit	b.	Less applications than expected
3.	Private placement	c.	Owned capital
4.	Secured debentures	d.	Advance programming of financial plan
5.	Return on share	e.	Bonus
		f.	Issuing shares without inviting public for subscription
		g.	Maximum 7 years
		h.	Security about repayment
		i.	Maximum 36 months
		j.	Management of business activities

(C) Write a word or a term or phrase which can substitute each of the following statements: **(5)**

(1) Shares which are redeemed after a certain period of time.
(2) Dividend declared by a company between two annual general meetings.
(3) An acknowledgement of the deposit accepted by a company.
(4) A type of bill in the nature of promissory note issued by the government.
(5) The floor of the stock exchange premises where the trading or auction of shares takes place.

Q.2. **Distinguish between the following: *(Any three)*** **[15]**

(1) Fixed capital and Working capital.
(2) Shareholder and Debentureholder.
(3) Transfer of shares and Transmission of shares.
(4) Share certificate and Share warrant.
(5) Primary market and Secondary market.

Q.3. **Write notes on the following (Any *three*):** **[15]**

(1) Acceptance of deposits.
(2) Retained profits.
(3) Employee Stock Option Scheme (E.S.O.S).
(4) Importance of Depository system.
(5) Bombay Stock Exchange.

Q.4. **State with reasons, whether the following statements are True or False: *(Any three)*** **[15]**

(1) Preference shareholders do not enjoy normal voting rights.
(2) Share certificate is a bearer document.
(3) Dividend can be paid on advance amount of calls received.
(4) Share transfer in depository mode is fast and economical.
(5) There are no legal provisions regarding payment of dividend.

Q.5. **Attempt the following: *(Any two)*** **[10]**

(1) Write a letter regarding payment of interest on debentures.
(2) Write the external factors influencing capital structure.
(3) Draft a letter to a depositor regarding repayment of his deposit.
(4) Write a letter to a debentureholder informing him about conversion of debentures into equity shares.

Q.6. Define Equity Shares and explain its features. . **[10]**

OR

Draft a letter informing about allotment of shares.